

Eternal Precision Mechanics (7795 TT)

 Target price: **TWD720.00** (from TWD600.00)

 Share price (9 Sep): **TWD548.00** | Up/downside: **+31.4%**

5

4

3

2

1


Buy
 (unchanged)

Vacuum laminators: the next ABF bottleneck

- 3Q26 QTD revenue ahead on higher high-end equipment recognition
- Product mix and price hikes drive margins to new highs
- Reaffirming Buy (1) rating; lifting 12M TP to TWD720

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What's new: Eternal Precision Mechanics (EPM) reported its August 2026 revenue after market hours on 9 September 2026.

What's the impact: **August revenue beat expectations.** EPM reported August 2026 revenue of TWD359.8m, up 95.7% MoM and 111.5% YoY. QTD revenue reached 88.4% of our previous 3Q26 forecast and 74.2% of the Bloomberg consensus. Given the faster-than-expected revenue recognition schedule and a sharp increase in recognised high-end equipment units, which should drive a more favourable product mix, we raise our 3Q26 revenue forecast by 33% to TWD972.7m, gross margin by 3.1ppts to 48.5%, and EPS by 92% to TWD1.86.

Vacuum laminators are emerging as the next ABF bottleneck. Despite a partial conversion of backlog into revenue in August, EPM's backlog continued to increase from TWD810m at end-July to TWD880m in early September. With lead times extending further to 36 months, vacuum laminators are emerging as the next bottleneck in the ABF capacity expansion cycle. Given the robust demand from ABF substrate makers, we see upside potential to EPM's capacity expansion plans. On margins, we expect continued product-mix improvement and the full realisation of price increases to lift gross margin by 6.6ppts/1.3ppts YoY to 53.2%/54.5% in 2027/28E, driving a 2026-28E EPS CAGR of 141%.

Moulding film adoption opens a new growth avenue. Traditional transfer and compression moulding typically use granular, powder, or liquid-type compounds for encapsulation. During our visit to SEMICON, Japanese material suppliers Nagase (8012 JP, JPY1,150.5, Outperform [2]; covered by Masayuki Nagano) and Resonac (4004 JP, JPY16,070, Outperform [2]; covered by Hidemitsu Umebayashi) noted growing customer interest in moulding films. These offer better filling performance, better warpage control and higher flowability. This makes them increasingly suitable for advanced packaging applications such as panel level packaging and component-embedded substrates. EPM supplies moulding-film laminators for both applications, with revenue contribution expected to begin in 2027.

What we recommend: We lift our 2026-28E EPS by 22-26% to reflect the full realisation of price increases and improving product mix. We reaffirm our Buy (1) rating and raise our 12-month TP to TWD720 (from TWD600) based on an unchanged target PER of 40x, applied to our 1-year forward EPS forecast. Key downside risk: slower-than-expected substrate capex growth.

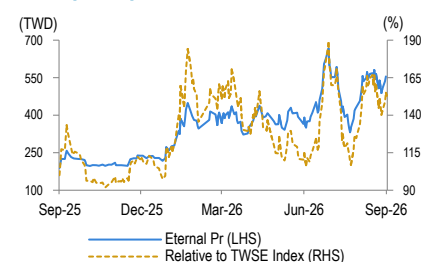
How we differ: We likely conduct a more comprehensive analysis than others on ABF industry demand and moulding film development.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	4.5	(3.7)	(0.9)
Net profit change	21.2	22.9	25.7
Core EPS (FD) change	21.6	23.2	26.0

Source: Daiwa forecasts

Share price performance



12-month range	195.00-666.00
Market cap (USDbn)	1.37
3m avg daily turnover (USDm)	16.95
Shares outstanding (m)	79
Major shareholder	Eternal Materials Co Ltd (61.7%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	3,067	8,812	11,724
Operating profit (m)	785	3,280	4,553
Net profit (m)	406	1,707	2,365
Core EPS (fully-diluted)	5.151	21.654	30.006
EPS change (%)	65.9	320.4	38.6
Daiwa vs Cons. EPS (%)	15.0	29.1	31.8
PER (x)	106.4	25.3	18.3
Dividend yield (%)	0.7	2.8	3.8
DPS	3.6	15.2	21.0
PBR (x)	13.6	9.5	7.6
EV/EBITDA (x)	48.5	12.5	9.1
ROE (%)	17.1	44.2	46.2

Source: FactSet, Daiwa forecasts

Eternal: 3Q26 Daiwa vs. Bloomberg estimates

(TWDm)	New forecast	QoQ	YoY	Previous forecast	Difference	Bloomberg consensus	Difference
Revenue	973	105.9%	144.4%	615	58.1%	732	32.9%
Gross profit	472	130.0%	192.2%	279	68.9%	338	39.6%
Operating profit	280	200.7%	365.3%	146	91.7%	180	55.8%
Profit before tax	281	183.2%	343.6%	147	91.5%	178	58.1%
Net profit	146	176.4%	384.7%	76	91.5%	95	54.1%
Basic EPS (TWD)	1.86	177.1%	331.8%	0.97	92.0%	1.14	62.9%
Margin							
Gross margin	48.5%	5.1pp	7.9pp	45.4%	3.1pp	46.2%	2.3pp
Operating margin	28.8%	9.1pp	13.7pp	23.8%	5.0pp	24.6%	4.2pp
Pre tax margin	28.9%	7.9pp	13.0pp	23.9%	5.0pp	24.3%	4.6pp
Net margin	15.0%	3.8pp	7.5pp	12.4%	2.6pp	13.0%	2.1pp

Source: Company, Bloomberg, Daiwa forecasts

Eternal: quarterly and annual P&L statements

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE			
Net sales	418	472	973	1,204	1,870	2,105	2,345	2,492	3,067	8,812	11,724
Gross profit	165	205	472	587	985	1,117	1,257	1,329	1,428	4,689	6,390
Operating costs	119	112	191	221	308	338	370	393	643	1,409	1,837
Operating profit	46	93	280	365	677	779	887	936	785	3,280	4,553
Pre-tax profit	46	99	281	367	679	780	889	935	794	3,283	4,549
Net profit	16	53	146	191	353	406	462	486	406	1,707	2,365
EPS (TWD)	0.21	0.67	1.86	2.42	4.48	5.15	5.86	6.17	5.15	21.65	30.01
Operating Ratios										6.6%	1.3%
Gross margin	39.4%	43.4%	48.5%	48.7%	52.7%	53.1%	53.6%	53.3%	46.6%	53.2%	54.5%
Operating margin	11.0%	19.7%	28.8%	30.3%	36.2%	37.0%	37.8%	37.6%	25.6%	37.2%	38.8%
Pre-tax margin	11.1%	21.0%	28.9%	30.5%	36.3%	37.1%	37.9%	37.5%	25.9%	37.3%	38.8%
Net margin	3.9%	11.2%	15.0%	15.8%	18.9%	19.3%	19.7%	19.5%	13.2%	19.4%	20.2%
YoY (%)											
Net revenue	-17%	32%	144%	90%	348%	345%	141%	107%	62%	187%	33%
Gross profit	-24%	19%	192%	95%	499%	444%	166%	127%	68%	228%	36%
Operating income	-61%	7%	365%	155%	1375%	735%	216%	156%	92%	318%	39%
Net income	-74%	10%	385%	142%	2092%	666%	216%	155%	85%	320%	39%
QoQ (%)											
Net revenue	-34%	13%	106%	24%	55%	13%	11%	6%			
Gross profit	-45%	25%	130%	24%	68%	13%	13%	6%			
Operating income	-68%	103%	201%	30%	85%	15%	14%	6%			
Net income	-80%	229%	176%	30%	85%	15%	14%	5%			

Source: Company, Daiwa forecasts

Eternal: revenue and earnings forecast revisions

(TWDm)	2026E			2027E		
	Previous	New	Consensus	Previous	New	Consensus
Revenue	2,936	3,067	2,836	9,151	8,812	7,314
Diff (%)		4.5%	8.1%		-3.7%	20.5%
Gross margin (%)	44.7%	46.6%	45.4%	50.2%	53.2%	50.5%
Operating Profit	649	785	657	2,671	3,280	2,440
Operating margin	22.1%	25.6%	23.2%	29.2%	37.2%	33.4%
Net Profit	335	406	351	1,389	1,707	1,330
EPS	4.24	5.15	4.48	17.58	21.65	16.77
Diff (%)		21.5%	15.1%		23.2%	29.1%

Source: Daiwa estimates and forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
JP plant avg. monthly capacity (units)	n.a.	n.a.	18	18	18	19	24	28
CH plant avg. monthly capacity (units)	n.a.	n.a.	4	4	4	4	5	5
Annual total shipment (units)	n.a.	n.a.	150	134	99	185	347	392

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Low/Mid End Laminator	n.a.	n.a.	1,074	833	609	1,024	1,395	1,316
High End Laminator	n.a.	n.a.	873	1,092	875	1,550	6,887	9,832
Other Revenue	n.a.	n.a.	414	309	414	493	531	576
Total Revenue	n.a.	n.a.	2,361	2,234	1,898	3,067	8,812	11,724
Other income	n.a.	n.a.	0	0	0	0	0	0
COGS	n.a.	n.a.	(1,303)	(1,238)	(1,048)	(1,639)	(4,124)	(5,334)
SG&A	n.a.	n.a.	(478)	(408)	(423)	(622)	(1,787)	(2,455)
Other op. expenses	n.a.	n.a.	(31)	(12)	(18)	(22)	378	619
Operating profit	n.a.	n.a.	558	564	409	785	3,280	4,553
Net-interest inc./(exp.)	n.a.	n.a.	(15)	(10)	(9)	(8)	(12)	(20)
Assoc/forex/extraord./others	n.a.	n.a.	7	6	16	17	15	16
Pre-tax profit	n.a.	n.a.	550	560	416	794	3,283	4,549
Tax	n.a.	n.a.	(254)	(261)	(196)	(388)	(1,576)	(2,183)
Min. int./pref. div./others	n.a.	n.a.	0	0	0	0	0	0
Net profit (reported)	n.a.	n.a.	296	299	220	406	1,707	2,365
Net profit (adjusted)	n.a.	n.a.	296	299	220	406	1,707	2,365
EPS (reported)(TWD)	n.a.	n.a.	5.664	4.218	3.106	5.151	21.654	30.006
EPS (adjusted)(TWD)	n.a.	n.a.	5.664	4.218	3.106	5.151	21.654	30.006
EPS (adjusted fully-diluted)(TWD)	n.a.	n.a.	5.664	4.218	3.106	5.151	21.654	30.006
DPS (TWD)	n.a.	n.a.	2.500	3.000	2.150	3.609	15.158	21.004
EBIT	n.a.	n.a.	558	564	409	785	3,280	4,553
EBITDA	n.a.	n.a.	633	639	483	861	3,390	4,673

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	n.a.	n.a.	550	560	416	794	3,283	4,549
Depreciation and amortisation	n.a.	n.a.	76	76	74	76	110	120
Tax paid	n.a.	n.a.	(254)	(261)	(196)	(388)	(1,576)	(2,183)
Change in working capital	n.a.	n.a.	(2,279)	494	(163)	(1,637)	(1,598)	(730)
Other operational CF items	n.a.	n.a.	2,536	(286)	(224)	496	(39)	0
Cash flow from operations	n.a.	n.a.	628	583	(93)	(659)	180	1,755
Capex	n.a.	n.a.	(30)	(10)	(36)	(81)	(760)	(600)
Net (acquisitions)/disposals	n.a.	n.a.	0	0	0	0	0	0
Other investing CF items	n.a.	n.a.	135	0	(0)	4	0	0
Cash flow from investing	n.a.	n.a.	105	(10)	(36)	(77)	(760)	(600)
Change in debt	n.a.	n.a.	(154)	(447)	(183)	(207)	585	545
Net share issues/(repurchases)	n.a.	n.a.	0	0	0	0	0	0
Dividends paid	n.a.	n.a.	(180)	(154)	(212)	(169)	(284)	(1,195)
Other financing CF items	n.a.	n.a.	516	(57)	(62)	1,559	143	0
Cash flow from financing	n.a.	n.a.	182	(658)	(457)	1,183	444	(650)
Forex effect/others	n.a.	n.a.	(124)	(57)	0	(34)	(34)	(35)
Change in cash	n.a.	n.a.	791	(142)	(586)	413	(171)	471
Free cash flow	n.a.	n.a.	598	573	(129)	(740)	(580)	1,155

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	n.a.	n.a.	1,860	1,718	1,132	1,545	1,374	1,844
Inventory	n.a.	n.a.	1,022	634	566	1,789	2,668	3,019
Accounts receivable	n.a.	n.a.	446	452	460	1,118	2,315	2,925
Other current assets	n.a.	n.a.	146	76	110	78	78	78
Total current assets	n.a.	n.a.	3,474	2,881	2,268	4,530	6,434	7,866
Fixed assets	n.a.	n.a.	390	322	314	361	1,050	1,530
Goodwill & intangibles	n.a.	n.a.	0	0	0	0	0	0
Other non-current assets	n.a.	n.a.	0	0	0	0	0	0
Total assets	n.a.	n.a.	3,863	3,203	2,582	4,890	7,484	9,395
Short-term debt	n.a.	n.a.	258	456	284	77	662	1,207
Accounts payable	n.a.	n.a.	221	146	148	540	1,018	1,249
Other current liabilities	n.a.	n.a.	896	699	268	778	921	921
Total current liabilities	n.a.	n.a.	1,376	1,301	700	1,395	2,601	3,377
Long-term debt	n.a.	n.a.	671	0	0	0	0	0
Other non-current liabilities	n.a.	n.a.	316	295	293	327	327	327
Total liabilities	n.a.	n.a.	2,363	1,596	993	1,723	2,928	3,704
Share capital	n.a.	n.a.	616	708	708	788	788	788
Reserves/R.E./others	n.a.	n.a.	885	899	881	2,379	3,767	4,903
Shareholders' equity	n.a.	n.a.	1,500	1,607	1,589	3,167	4,556	5,691
Minority interests	n.a.	n.a.	0	0	0	0	0	0
Total equity & liabilities	n.a.	n.a.	3,863	3,203	2,582	4,890	7,484	9,395
EV	n.a.	n.a.	42,267	41,936	42,350	41,731	42,487	42,561
Net debt/(cash)	n.a.	n.a.	(931)	(1,262)	(848)	(1,468)	(712)	(637)
BVPS (TWD)	n.a.	n.a.	24.374	22.690	22.436	40.181	57.790	72.198

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	n.a.	n.a.	n.a.	(5.4)	(15.0)	61.6	187.3	33.0
EBITDA (YoY)	n.a.	n.a.	n.a.	0.9	(24.4)	78.2	293.7	37.9
Operating profit (YoY)	n.a.	n.a.	n.a.	1.1	(27.5)	92.0	317.9	38.8
Net profit (YoY)	n.a.	n.a.	n.a.	1.1	(26.4)	84.6	320.4	38.6
Core EPS (fully-diluted) (YoY)	n.a.	n.a.	n.a.	(25.5)	(26.4)	65.9	320.4	38.6
Gross-profit margin	n.a.	n.a.	44.8	44.6	44.8	46.6	53.2	54.5
EBITDA margin	n.a.	n.a.	26.8	28.6	25.5	28.1	38.5	39.9
Operating-profit margin	n.a.	n.a.	23.6	25.2	21.5	25.6	37.2	38.8
Net profit margin	n.a.	n.a.	12.5	13.4	11.6	13.2	19.4	20.2
ROAE	n.a.	n.a.	25.0	19.2	13.8	17.1	44.2	46.2
ROAA	n.a.	n.a.	8.1	8.5	7.6	10.9	27.6	28.0
ROCE	n.a.	n.a.	22.9	25.1	20.8	30.7	77.5	75.2
ROIC	n.a.	n.a.	52.6	65.8	39.9	32.9	61.5	53.2
Net debt to equity	n.a.	n.a.	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	n.a.	n.a.	46.3	46.6	47.1	48.9	48.0	48.0
Accounts receivable (days)	n.a.	n.a.	n.a.	73.4	87.7	93.9	71.1	81.6
Current ratio (x)	n.a.	n.a.	2.5	2.2	3.2	3.2	2.5	2.3
Net interest cover (x)	n.a.	n.a.	35.9	47.9	46.5	100.3	277.0	228.4
Net dividend payout	n.a.	n.a.	44.0	63.8	69.1	70.0	70.0	70.0
Free cash flow yield	n.a.	n.a.	1.4	1.3	n.a.	n.a.	n.a.	2.7

Source: FactSet, Daiwa forecasts

Company profile

Eternal was established in 2022 through the spin-off of Eternal Material's equipment division and its subsequent merger with Nikko-Materials, a wholly owned Japanese subsidiary. The company was listed in January 2026 and is the global leader in IC substrate vacuum laminators, serving all major substrate manufacturers worldwide.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	1 Eternal demonstrates a solid corporate governance structure supported by a balanced and diversified board composition. The company's board consists of 7 members, including 3 independent directors, with backgrounds spanning industry operations, finance, accounting, legal, and academia, enabling comprehensive oversight across business and governance functions.
	Capital management	2 Eternal adopts a prudent capital management strategy, supported by a stable shareholder structure and disciplined financial policy. The company is majority-owned by Eternal Materials (over 60% stake), providing long-term strategic backing and financial stability.
	Related party & transaction	1 Eternal discloses related-party transactions transparently and enforces strict governance procedures to manage potential conflicts of interest. Board members are required to recuse themselves from discussions and voting on matters involving personal or affiliated interests, such as asset acquisitions, patent licensing, and remuneration decisions.
S	Product quality & safety	1 Eternal maintains strict product quality control, covering design, manufacturing, and delivery processes. The company emphasizes equipment reliability and performance stability, supported by long-term client relationships and low defect risks, ensuring high customer satisfaction and consistent product safety standards.
E	Product design & lifecycle management	2 Eternal focuses on enhancing product durability and energy efficiency through continuous R&D innovation. Its equipment design emphasizes precision, extended lifecycle and reduced material waste, aligning product development with resource efficiency and long-term environmental sustainability goals.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 26 Jun 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
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Hold**	20.53%
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Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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